

Monthly household spending indicator: Steady, but unspectacular

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By Neha Sharma

Economist, Westpac

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January household spending indicator: 0.3%*mt*, 4.6%*yr*



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Household spending rose 0.3%*mt* in January, in line with its average monthly pace over the past two

years. Annual growth continued to ease. At 4.6%yr it implies real per-capita spending has declined over the year.

Alcohol & tobacco was the main drag (–1.7%mt), excluding this component, spending would have risen 5.4%yr. Housing-related and hospitality categories also weighed on the month.

State outcomes were mixed. Growth was led by a rebound in NSW and Vic. Momentum has softened across all states in recent months, with WA the only state showing softer trends than at the start of 2025.

Household consumption did not deliver the expected strength in the GDP data. There were some quirks, and taken together with today’s print and signals from our Westpac-DataX Card Tracker, spending growth leans more towards a stabilisation than a slowing.

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